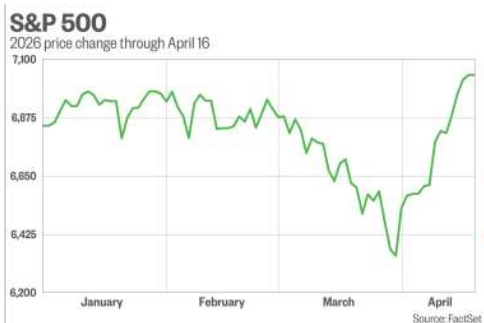


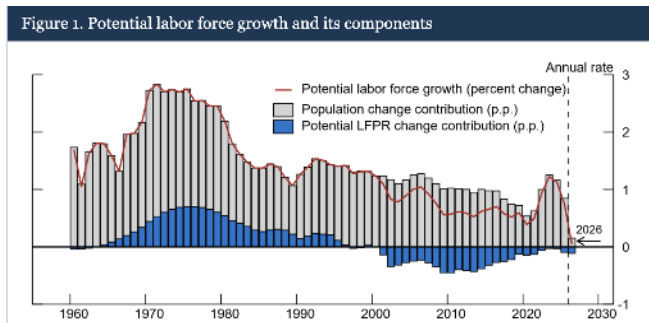
The Stock Market and Real Life: Reality versus Expectations

There are many ways to invest your money: you can bet with Kalshi or DraftKings, buy gold (or limited-edition shoes) and hope the price rises, or even buy meme currencies like the TRUMP coin, but most people trade stocks. Investing strategies differ vastly when trading stocks. Some people buy and hold; the best investors, like Warren Buffett, believe the stock market will go up in the long run. Other people day trade: they usually buy volatile stocks when the market opens at 9:30 AM ET, and sell them before it closes at 4:00 PM ET. A few people “short” stocks, borrowing the shares (stocks), selling them, and later buying them back and returning them. Whichever way you invest, you make a bet on *how* you think the stock will move. If you buy a stock, you bet it will go up in value so you can sell it for profit, and if you short a stock, you bet it will go down so you buy it back for less than you sold it for. However, what you believe will happen in the stock market rarely ever actually happens, begging the question: what causes stocks to go up and down the way they do?

Recent movements in the stock market have not aligned with global headlines. Because of the crisis in Iran, there has been uncertainty surrounding the stability of energy production in the Middle East, which has caused stocks to plummet as input prices (like oil and gas) rise and corporate profits fall. However, in the past couple of weeks, the stock market has rallied, as detailed in the graph below. This defies logic, since macroeconomic data, like labor market growth, paints a negative future for the US economy.



S&P Rally in April



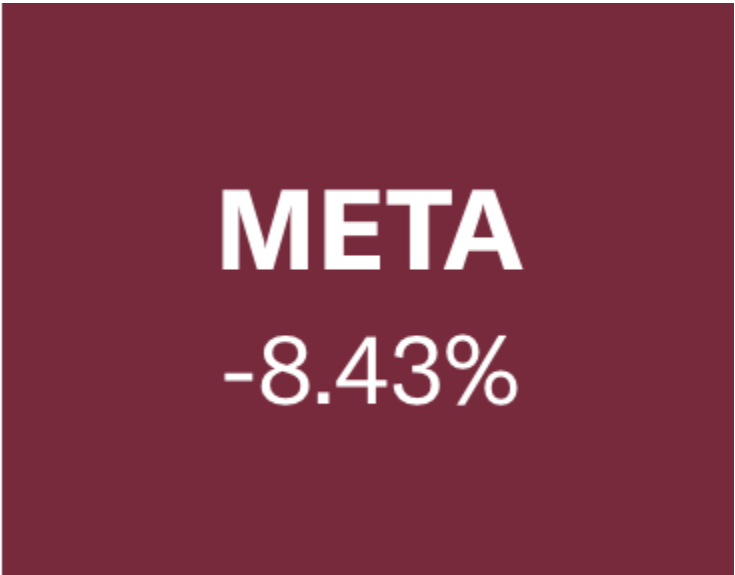
Labor Force growth slowing in 2026

Similarly, Meta’s stock slid even though their Q1 2026 earnings were up by more than 50% versus Q1 2025.

First Quarter 2026 Financial Highlights

	Three Months Ended March 31,		
	2026	2025	% Change
Net income	\$ 26,773 Million	\$ 16,644 Million	61 %
Diluted earnings per share (EPS)(1)	\$ 10.44	\$ 6.43	62 %

Meta Earnings Report



Heatmap shows Meta stock sliding at market open, taken 4/30

Many analysts suggest this slide is due to higher-than-expected AI capital expenditures (“capex”), which actually strengthens the narrative that its share price was “priced in,” and contrasts with academic arguments around the implications of liquidity. These puzzling interactions led me to a central question: Why doesn’t the stock market reflect macroeconomic trends or current firm and industry performance? The reason stems from a fundamental disconnect between what happens in the short run and within the stock market and what happens in the long run and in the macroeconomic climate. The stock market is to the real world as expectation is to reality; the only reason the stock market moves at all is that someone is willing to buy ownership in a company because they expect the stake to increase in value. Anything that happens in real life changes the expected value of the stake purchased, causing people to buy and sell. Investor confidence is one of the biggest drivers of stock market swings, meaning it can push stock valuations higher if investors believe enough in the future, even while current trends might give the opposite impression.

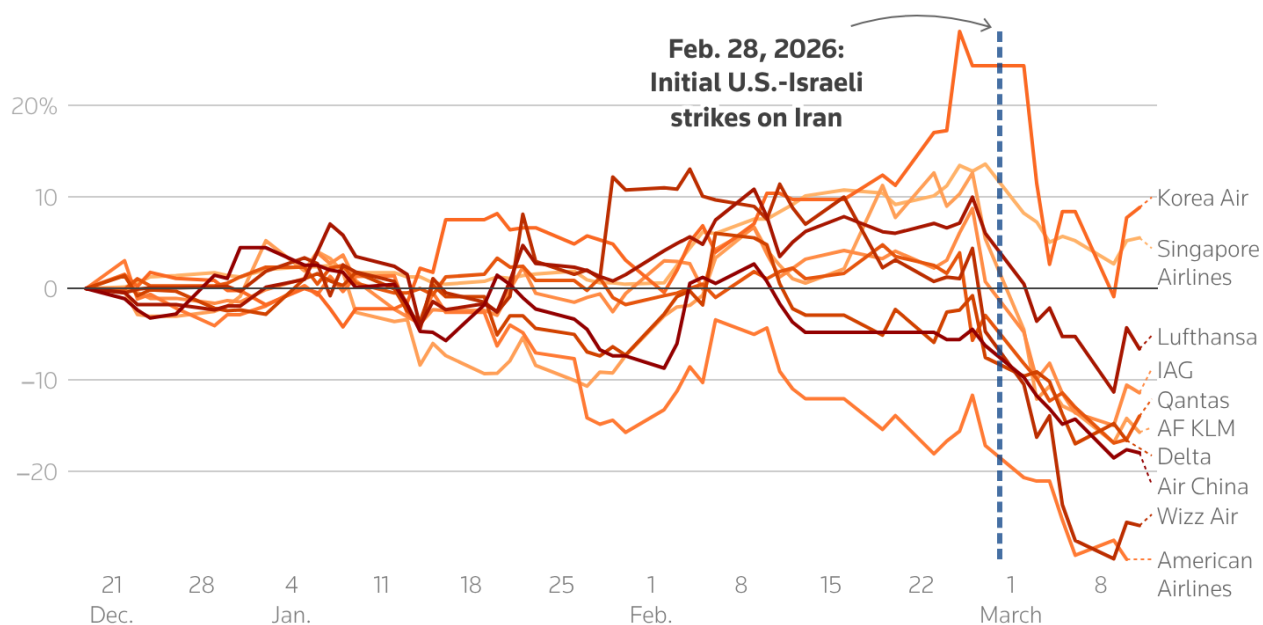
What happens day-to-day in the market is usually already anticipated by professional traders. These individuals (institutional traders), usually part of large institutions, have already “priced in” factors such as earnings reports. They have already predicted which companies will have earned money and have already bought and sold the relevant shares, thus changing the share price and making it “priced in.” When a company like NVIDIA announces that it has beaten reports, regular (retail) traders might start buying shares, but professional traders have already bought shares since they expected NVIDIA to beat earnings; the information was already known, and they sell their shares to profit from retail buying. Since the official report released by NVIDIA does not bring any new information, there is no further reason for those traders to buy NVIDIA stock, causing their demand to flatten. At that moment, the quantity supplied by

professional traders selling their shares for profit exceeds the quantity demanded by retail traders buying in on the earnings news, putting downward pressure on the share price. This is why, even when companies announce positive reports, the share price can fall. However, earnings reports are information updates for all investors. Meta's case exposes an important caveat to our earnings report phenomenon: investors expected Meta to beat earnings forecasts, but their capex increase was news to investors, causing investors to sell shares and tank the price. Similarly, if pro traders expected companies to barely beat earnings, but instead they were to greatly surpass forecasts, traders would now update their outlook on the company, and might buy shares instead of selling them. This forward-looking component is further highlighted when companies release poor earnings reports. If Google were to miss their forecast, retail traders might sell their shares, lowering the share price. However, if professional traders were to forecast higher earnings over the next couple of months, they might buy Google's shares, causing the price to rise rather than fall.

The stock market also does not move in tandem with global headlines because it is not uniformly weighted. The 10 largest US companies make up about 40% of ETFs like the S&P500 and more than 50% of the NASDAQ, and they happen to be mostly tech companies. Tech companies aren't as easily hurt by rising oil prices, meaning their stocks don't, or shouldn't, move as much as stocks of companies more reliant on oil, like United or Delta. After Iran, the US Global Jets ETF fell 30%, while the NASDAQ, a tech-heavy index, rallied by 18% after the initial slump we described earlier. Combining these two pieces of information, it is easier to understand why the market's movement does not align with real life.

Airline Stocks Slide

Global airline stocks have slid sharply since U.S.-Israeli strikes on Iran sparked a wider regional conflict and pushed up global energy prices sharply.



Global airline stocks like Delta and American Airlines fall upwards of 10%

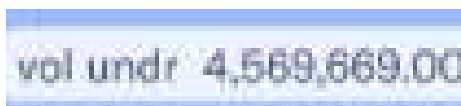
While the index composition helps explain why the Iranian oil crisis didn't drag down the whole market, it doesn't fully explain why the market has been rebounding. The current AI narrative explains this rebound. For the past few years, AI has been the most talked-about and invested-in industry. Just because there is some uncertainty in Iran, doesn't mean that AI progress has ground to a halt. People were a little afraid in the first few weeks of the conflict and sold off stocks, but once they regained their senses, they remembered to invest in tech stocks, driving prices back up. This shift in investor mood, where people sell when fearful and buy when optimistic, is what we will define as "investor sentiment," a concept that finance professionals and professors like Malcolm Baker and Jeffrey Wurgler also acknowledge.

While this "investor sentiment" can make stocks rally in the short run, it can actually lead to losses in the long run. Higher stock prices based solely on investor sentiment have limited

future upside potential. This is because when people buy stocks based on their sentiment about its future, the price inflates. The ceiling for stock growth now looms closer, since the price has already increased, not due to company growth but rather because of investor sentiment. This is why “hype” stocks actually fall: investor sentiment does not reflect the stock’s true value. Baker and Wurgler find that extreme growth stocks, which nowadays are AI and tech stocks, “tend to earn relatively low subsequent returns” during high-sentiment periods. As Baker and Stein argue, cited by Baker and Wurgler, liquidity can serve as a direct measure of today’s retail investor optimism. More liquidity begets more optimism, which causes more retail investors to buy shares and overvalue the stocks, leading to losses in the long run. However, liquidity goes both ways. Baker and Stein argue that liquidity correlates with optimism, but it also correlates with panic.



META stock slides at market open on 4/30



Volume of META Stock traded at 9:30 AM ET

Circling back to our Meta example, we see the share volume (the number of shares traded) spike to 4.5 million as soon as the market opened on Thursday, April 30th. This spike happened because Meta's earnings announcement occurred after the market closed on Wednesday, April 29th. As we noted earlier, investors were worried about Meta's AI capex, and in their panic, they sold off millions of shares. Thus, liquidity proxies investor sentiment in both confidence and fear, explaining price swings.

Now that we have covered why stocks have been rebounding in the face of global headwinds, we must address the juxtaposition between unsettling domestic macroeconomic data

and a rebounding market. Inflation has always been a highly scrutinized topic, and the investing world shows no difference. Most, if not all, companies decide whether to spend large sums of money based on the interest rate, which in turn is based on inflation. When inflation is high, the Federal Reserve increases interest rates, precluding companies from spending. More specifically, the borrowing associated with spending is now more expensive thanks to the increased interest rates. The crisis in Iran started at the end of February, and the March reports from the Bureau of Labor Statistics on CPI and PPI (consumer price index and producer price index, respectively) indicated higher-than-expected inflation. CPI and PPI index the prices that all consumers and producers must pay for their goods, and if they both show increases, then consumers and producers are paying more for their goods: inflation. The month-by-month CPI increased by 0.9% between February and March, 0.6% more than between January and February. As for PPI, its increase “can be attributed to a 1.6-percent advance in the index for final demand goods.” An increase in both CPI and PPI is concrete evidence of inflation. It comes as no surprise, then, that in their meetings in March and April, the Federal Reserve voted to keep interest rates at 3.5-3.75%, fairly high. Even though not many people expected a rate hike, a maintenance of high rates constitutes a worse outcome than a rate cut. This lack of a rate cut caused people to update their expectations downward. With rates remaining high, borrowing becomes more expensive, constraining company spending and limiting future growth potential, which makes their shares less attractive to investors. Despite this headwind, the market continued to rally, driven by a multitude of forces like the AI narrative.

On top of domestic macro factors, the US economy finds itself more insulated from the conflict in Iran than European economies. When there is economic instability in the Middle East and Europe, there doesn't have to be economic instability in the US. Since, according to the

saying from Macroeconomics, “savings always flow to places where they get the best, risk-adjusted, rate of return,” then, during times of crises where risk levels in Europe rise, savings flow out of Europe and into the US. People buy Federal Bonds and, more importantly, US stocks, driving up stock prices in the US. This capital flow phenomenon explains why, even when global headlines look bad, the US stock market can still be up.

Lastly, some companies make it their life mission to put in and get out constant returns from the stock market. These are called pension funds or retirement funds, and they invest in things on a repeated basis. Whether or not the market is up is none of their concern; they must deploy their capital (ie, they must invest). Funds can only sit on cash for so long; they need to purchase equities every so often to earn in the long run and meet liabilities. This stock demand from funds means the market always has an artificial boost, explaining why, in hard times, stock prices can rise. Even in the 1960s, this was a documented occurrence that Vito Natrella, a member of the SEC (Securities and Exchange Commission) and ASA (American Statistical Association), explained in detail at meetings: pension fund inflows are contractual and create a “continuing demand” for stocks, regardless of market conditions.

In the case of the recent rally, it cannot be explained by one force but by a combination of the AI narrative momentum, pension fund inflows, a tech-heavy index composition, and capital inflow from European nations, all moving the stock market opposite to global and domestic headlines. We have established a concrete disconnect between real life and the stock market, and explained how the disconnect stems from the stock market’s forward-looking nature. Thus, when investing, we must take note of these discrepancies and exercise caution. While I cannot provide financial advice, I can give examples where retail investors invest based on news and end up seeing stocks slide. The stock market does not measure current economic reality, and

understanding how it takes price expectations, flows of capital, and narratives into account is vital for informed investing. Whenever we see global headlines or company earnings reports, we now have tools to critically analyze how, if at all, they will affect the stock market and can determine whether we should change our investment strategy.

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